

HOUSING DEVELOPMENT
WATER SYSTEM AGREEMENT

THIS AGREEMENT is made and entered into this 23 day of March, 2001, by and between Mid-Dakota Rural Water System, Inc., PO Box 318, Miller, SD, 57362, ("Mid-Dakota") and Thomas M. Maher, 201 N. Euclid, Pierre, S.Dak. ("Developer").

RECITALS

A. Developer owns certain real estate within Mid-Dakota's service area, which real estate is more fully described on the attached Exhibit "A" (the "Real Estate"). Developer has built or is building a housing development (the "Development") on the Real Estate. As a part of the construction of the Development, Developer intends to install a water distribution system ("the System"). Developer wishes to have Mid-Dakota connect to the System and supply water to homeowners within the Development.

B. Mid-Dakota desires to connect to the System and supply water to homeowners within the Development, but only upon the terms and conditions set forth herein.

AGREEMENT

1. Developer agrees that the System has been or will be constructed in accordance with standards of construction and materials acceptable to Mid-Dakota. Mid-Dakota will not accept a transfer of, nor connect to, any water system not constructed up to Mid-Dakota's standards. Developer hereby acknowledges receipt of a copy of said standards and specifications..
2. Mid-Dakota, its officers, agents, employees, representatives and engineers shall not be responsible for any defect in construction, materials or workmanship whether Mid-Dakota or any its representatives have reviewed plans and specifications for the System or not, nor shall Mid-Dakota or any of its officers, agents, employees, representatives or engineers be responsible for any damage, defect or injury resulting from construction of the System using Mid-Dakota's standards and specifications. Mid-Dakota shall have no obligation to provide plans and specifications for the System; rather, the Developer shall submit its plans and specifications to Mid-Dakota for a review to determine compliance with Mid-Dakota's standards.
3. Upon substantial completion of construction of the System, the Developer shall transfer ownership of the System and an easement for access to the System to Mid-Dakota by way of a instrument of conveyance, a form of which is attached hereto, marked as Exhibit "B," and incorporated herein by this reference. Mid-Dakota will not accept such conveyance unless the following conditions are met:

- (a). If not completed before, a properly-executed copy of this Agreement must

accompany the instrument of conveyance;

(b). The Developer must at the time of conveyance provide Mid-Dakota with a complete set of "as-built" plans and specifications for the System;

(c). The instrument of conveyance must be accompanied by properly-executed mechanics' and materialmens' waivers from all suppliers and contractors involved in the design and construction of the System;

(d). The Developer must at the time of conveyance provide Mid-Dakota with a certified copy of the restrictive covenants relating to the Development, which covenants must make reference to the duties and responsibilities of the Developer and the residents of the Development pursuant to the terms of this Agreement and Mid-Dakota's policies and procedures;

(e). The System must be constructed in compliance with Mid-Dakota's standards and specifications.

4. Developer hereby agrees to indemnify and hold Mid-Dakota, its officers, directors, agents, employees and engineers, harmless (including costs and attorney fees) from and against any and all claims, causes, actions or causes of action of any kind or nature whatsoever arising out of or resulting from the conveyance of the System to Mid-Dakota or its operation and maintenance thereof. Mid-Dakota gives no warranty or guarantee, express or implied, that either Mid-Dakota or the System can or will supply sufficient water for fire-fighting purposes, and the indemnification provided for herein specifically includes claims made relating to the availability of water for fire-fighting purposes.

5. Upon conveyance of the System to Mid-Dakota, and as soon as Mid-Dakota is able to supply water to the System in accordance with Mid-Dakota's overall construction schedule and the availability of funding, Mid-Dakota will provide water service to residents of the Development utilizing the System, but subject to the following terms and conditions:

(a). In consideration of the conveyance of the System to Mid-Dakota, Mid-Dakota will not charge Water User Fees (as set forth in Policy Bulletin 200) to the residents of the Development, but said waiver of Water User Fees shall only apply if the Developer has complied with all of the provisions of Policy Bulletin 305, including payment by the Developer of the cost of improvements to Mid-Dakota's overall water distribution system necessary to provide the needed capacity;

(b). Residents of the Development will be billed for usage and other items as Municipal Household Users as set forth in Policy Bulletin 305, paragraph D as it relates to water rates and billing. Water Users within the Development will be billed in conformity with the appropriate minimum bill and water rate schedule as set out in Policy Bulletin 202

and any applicable appendices. All Water Users within the Development will be subject to any other Policy Bulletin, rule or procedure adopted or utilized by the Corporation;

(c). Mid-Dakota will not utilize the System or any part thereof to serve users outside of the Development without Developer's prior written consent.

6. The provisions of Mid-Dakota Policy Bulletin 305 and all other applicable Mid-Dakota policy bulletins are incorporated herein by this reference.

7. Any lawsuit concerning, arising out of or related to the terms of this Agreement must be commenced in the Circuit Court, Third Judicial Circuit, Hand County, South Dakota.

8. This Agreement and the attachments hereto constitute the entire agreement of the parties concerning its subject matter. Any prior agreements, representations or negotiations, oral or written, concerning the subject matter of this Agreement or any part thereof are superseded by this Agreement. The terms of this Agreement may only be amended by a written document, executed with the same formalities as this Agreement. Time is of the essence in the performance of the covenants, terms and conditions contained herein.

Dated this 23 day of March, 2000.

Jim Maher DEVELOPER

BY: Jim Maher

ITS: Daver

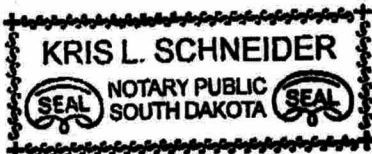
Prepared by:

Mid-Dakota Rural Water System, Inc.
PO Box 318
Miller, SD 57362-0318
1-800-439-3079

State of South Dakota)
)ss
County of Hughes)

On this the 23 day of March, 2000, before me the undersigned officer,
personally appeared Thomas M. Mahu, who acknowledged himself/herself to be the Owner
of _____, a corporation, and that he/she as
such _____, being authorized so to do, executed the foregoing name of
the corporation by himself/herself as _____.

IN WITNESS WHEREOF I hereunto set my hand and official seal this 23 day of
March, 2000.



(SEAL)

Kris L. Schneider
Notary Public

Notary Print Name: Kris L. Schneider
My Commission Expires: 7-12-2005

Dated this 26th day of March, 2000

MID-DAKOTA RURAL WATER SYSTEM, INC.

BY: [Signature]
ITS: General Manager

ATTEST:

Donna L. Progan

(SEAL)



Exhibit A

Lots 1-51, Shamrock Addition in the NE ¼ except the West 727.49 Feet, in Section 23
of T111N R79W, Hughes County, South Dakota

#18554

STATE OF SOUTH DAKOTA } ss.
County of Hughes

Filed for record this 14 day of March 2002
10:20 o'clock A. M., and recorded on Disk 1C

#18554 2

[Signature]
Register of Deeds

Fee \$18.00

